SECRET [redacted]

APF-A-1

CENTRAL INTELLIGENCE AGENCY

WASHINGTON 25, D. C.

OFFICE OF THE DIRECTOR

APR 13 1953

MEMORANDUM FOR: DEPUTY DIRECTOR (ADMINISTRATION)

SUBJECT : Project MKULTRA - Extremely Sensitive Research and Development Program

1. On 6 June 1952, the Project Review Committee approved the DD/P/TSS Research Program and allotted [redacted] to the Program for Fiscal Year 1953. This sum provided [redacted] for research and [redacted] for operating costs.

2. The PRC approval authorized the Director of Research, at his discretion and with the approval of the Research Chairman, to obligate the research funds and apportion them among individual projects, such projects to be subject to the usual Agency procedures and administrative controls.

3. A small part of the Research Program contemplated by TSS and discussed with me consists of ultra-sensitive work. The nature of the research and the security considerations involved preclude handling the projects by means of the usual contractual agreements.

4. I have, therefore, approved the obligation and expenditure by TSS of $300,000 of the total of [redacted] already approved by the PRC for research for FY '53 without the signing of the usual contracts or other written agreements.

5. This sum of [redacted] will be handled as Project MKULTRA. Would you please make the necessary arrangements so that invoices forwarded by TSS applying to MKULTRA will be paid, provided that:

a) in the aggregate, they do not exceed [redacted] for FY '53 without further authorization from me;

b) each invoice is to bear a certification by the Chief,

SECRET [redacted]

DD/P/TSS, as the Research Director, that the invoice applies to Project MKULTRA and that the conditions outlined in the DD/P memorandum for DCI dated 3 April have been complied with. The certification will also request that payment be made;

c) the invoice shall bear the certification of the Executive Secretary of the Research Board that the scope of the program has been approved;

d) the invoice shall bear the certification of the cognizant TSS Division Chief that the work has been satisfactorily performed from a technical point of view and has been carried out in accordance with the understandings reached between TSS and the individual or concern doing the work.

6. No further documents will be required to justify payment of the invoices. Exacting control will be maintained over the Project by TSS. Although no formal contract will be signed, it will occasionally be possible for TSS to sign an informal agreement with the individual or concern performing the work. In such cases, TSS will retain in its files all documents. TSS will endeavor wherever possible to obtain documentary support of invoices, such as cancelled checks, receipted bills, etc., and these will remain in TSS files. Such documents at best will only cover a portion of the total expenditures, and the regular audit procedure will not be followed.

7. Other provisions and control over the Research Program specified in the original PRC approval remain unaltered. The monthly budget and financial record being submitted by TSS to DD/A will include financial information on the work being conducted under Project MKULTRA, showing how much of the [redacted] has been committed, how much has been spent, and how much remains.

ALLEN W. DULLES
Director, Central Intelligence

Distribution:
Addressee - Orig. & 1
DD/P - 1
TSS/OC - 1
Exec. Registry - 1

SECRET [redacted]

SECRET

Executive Registry
6-5321

T. S. 101077B

CENTRAL INTELLIGENCE AGENCY
WASHINGTON 25, D. C.

APF-A-2

OFFICE OF THE DIRECTOR

JAN 15 1955

MEMORANDUM FOR: DEPUTY DIRECTOR (ADMINISTRATION)

ATTENTION : Comptroller

SUBJECT : TSS Research Program Project MKULTRA

1. In accordance with previous arrangements, TSS has been authorized to spend [redacted] of its annual Research and Development budget in accordance with procedures and controls approved by me for Project MKULTRA.

2. Subproject 35 of MKULTRA in the amount of [redacted] has been discussed with, and approved by, me. Since this subproject was not contemplated when the MKULTRA budget was prepared, it is possible that present FY 1955 MKULTRA funds may prove insufficient to cover both subproject 35 and other contemplated subprojects.

3. In the event that this proves to be the case, TSS is authorized to transfer, when necessary, an additional [redacted] to MKULTRA from the balance of the FY 1955 R&D budget. No new funds are involved, and this authorization, in itself, does not constitute an increase in the TSS Research budget.

This was approved by the DCI on 15 Jan 1955

[redacted]

ALLEN W. DULLES
Director

[redacted]

Copy # 1 of 8 copies

SECRET

APF-A-3

MKULTRA

23 March 1954

MEMORANDUM FOR: DIRECTOR, CENTRAL INTELLIGENCE

SUBJECT : CIA Research Board

1. Late in 1951, at the request of the Agency, I came to Washington to help establish a research program designed to assess (for the covert Offices of the Agency) the weapons, devices, equipment and methods needed to accomplish the respective missions.

2. The first task confronting me was to evolve a plan to make it possible to carry out research effectively within the Agency structure and to secure the high quality of personnel required to produce the quality of results dictated by foreign competition.

3. In June 1952 you and Gen. Smith approved my plan forming the Technical Services Staff, operating under a Research Director in conjunction with a Research Chairman and an advisory board composed of distinguished scientists and engineers.

4. During the formative period of organization, it has been necessary for me to take part in a good deal of administrative and organizational work in order to carry out the original concept of the TSS organization and to assume wider responsibilities than are normally assumed by the chairman of an advisory body.

5. I have felt from the beginning that my work should not only be directed to producing technical competency but toward the development of an organization and procedures which continue to be effective long after I cease to be part of the show.

6. Consequently, I have, from time to time, relinquished certain administrative functions and responsibilities - placing them where they belong in a well balanced and competent research group and devoting more and more of my time to the technical problems and the proper functions of a chairman of a research advisory board.

7. It is my belief that this board should be primarily an advisory body to express its opinion on technical and research matters; to advise

A-3

and Assist the Director of Research in the formulation of a yearly research program and a proposed budget; and to meet from time to time to review the work done and make such recommendations as it may see fit through its Chairman. Also it is intended that this Board shall be prepared to give assistance and advice to the Director and his staff whenever requested.

8. The Chairman should keep in contact with the work of TSS and keep the Board acquainted with its important technical problems and matters involving technical policy and spend a major part of his time searching for new sources of pertinent technical knowledge.

9. It now appears to be unnecessary, and I believe organizationally undesirable, for the Research Chairman to certify each individual project in the already approved program. The present organization under Dr. A [redacted] has demonstrated its ability to carry out the approved program and to handle its budget properly and give the DD/A a clear monthly statement of its financial position with respect to its allocated funds. As a practical matter, the signing off on individual projects is a function which should be vested in the Research Director with existing accounting controls and after the initial technical approval of the Board and its periodic review of the program. The Research Director's approval of a project should be considered as an indication that the project falls within the program considered by the Board and no countersignature by a member of the Board should be required. Actually no additional directive is needed to effect this shift in responsibility as the project directive is broad enough to cover the change which is of minor order except that it will be important since it will facilitate securing the services of a future Chairman for the Research Board.

A

TSS/OC [redacted] (23 March 1954)

A [redacted]
Research Chairman

APPROVED:

C. K. Cheek

Deputy Director, Central Intelligence

[redacted] A

[redacted] SECRET

ER-4-2199

APF-A-4

COPY

CENTRAL INTELLIGENCE AGENCY
WASHINGTON 25, D. C.

OFFICE OF THE DIRECTOR

19 June 1953

MEMORANDUM FOR: DEPUTY DIRECTOR (ADMINISTRATION)

SUBJECT : TSS Research Program

1. On 6 June 1952, the DCI approved PRC recommendation TS No. 63644 which allocated [redacted] for Fiscal Year 1953 for the initial phase of the [redacted] Research Program, of which sum [redacted] was to support research and [redacted] to meet operating costs. This same document established the framework under which the program has been carried out.

2. It is desired that the TSS Research Program continue to be carried out under the procedures, authorities and controls outlined in the PRC approval although, of course, the sum of money available under the budget may change from one Fiscal Year to another.

3. A memorandum from the undersigned to the DD/A, dated 13 April 1953, subject: MKULTRA, outlined certain procedures and controls under which TSS was authorized during Fiscal Year 1953 to handle certain extremely sensitive research and development programs. The authority granted in that memorandum is hereby extended to cover Fiscal Year 1954. During the first six months of Fiscal Year 1954, TSS is authorized to obligate [redacted] of the annual research budget (exclusive of the amount budgeted for operating costs) in the manner outlined in that memorandum. All procedures and controls covering MKULTRA remain unchanged.

/s/ Allen Dulles

ALLEN W. DULLES
Director, Central Intelligence

TSS/CC: [redacted] (16 June 1953)

Distribution:
Addressee - Orig. & 1
TSS/CC - 1
TSS/ADMIN/BUDGET - 1
DCI Files - 1

8/4/53
original for file in Comptroller
copy to ogarn [redacted] A

COPY

[redacted] SECRET

SECRET [redacted]

APF-A-5

APR 17 1953

MEMORANDUM FOR: COMPTROLLER

ATTENTION : CFD

SUBJECT : DD/P/TSS Project MKULTRA - Extremely Sensitive Research and Development Programs

1. On 6 June 1952, the Project Review Committee approved the DD/P/TSS Research Program and allotted [redacted] to the Program for Fiscal Year 1953. This sum provided [redacted] for research and [redacted] for operating costs.

2. The PRC approval authorized the Director of Research, at his discretion and with the approval of the Research Chairman, to obligate the research funds and apportion them among individual projects, such projects to be subject to the usual Agency procedures and administrative controls.

3. A small part of the research program contemplated by TSS consists of ultra-sensitive work. The nature of the research and security considerations involved preclude handling the projects by means of the usual contractual agreements. By memorandum, the DCI has informed me that he has approved the obligation and expenditure by TSS of [redacted] of the total of [redacted] already approved by the PRC for research for FY '53 without the signing of the usual contracts or other written agreements.

4. This sum of [redacted] will be handled as Project MKULTRA. Please consider this your authority to pay invoices forwarded by TSS applying to MKULTRA, provided that:

(a) in the aggregate, they do not exceed [redacted] for FY '53 without further authorization from me;

(b) each invoice is to bear a certification by the Chief, DD/P/TSS, as the Research Director, that the invoice

SECRET [redacted]

applies to Project MKULTRA and that the conditions outlined in the DD/P memorandum for DCI dated 3 April have been complied with. The certification will also request that payment be made;

(c) the invoice shall bear the certification of the Executive Secretary of the Research Board that the scope of the program has been approved;

(d) the invoice shall bear the certification of the cognizant TSS Division Chief that the work has been satisfactorily performed from a technical point of view and has been carried out in accordance with the understandings reached between TSS and the individual or concern doing the work.

5. No further documents will be required to justify payment of the invoices. Exacting control will be maintained over the Project by TSS. Although no formal contract will be signed, it will occasionally be possible for TSS to sign an informal agreement with the individual or concern performing the work. In such cases, TSS will retain in its files all documents. TSS will endeavor wherever possible to obtain documentary support of invoices, such as cancelled checks, receipted bills, etc., and these will remain in TSS files. Such documents at best will only cover a portion of the total expenditures, and the regular audit procedure will not be followed.

6. Checks in payment of invoices for Project MKULTRA will be sent to TSS, who will be responsible for their safe delivery to the individual or concern submitting the invoice. The monthly budget and financial record being submitted by TSS to DD/A will include financial information on the work being conducted under this Project showing how much of the [redacted] has been committed, how much has been spent, and how much remains. Unvouchered funds should be used, and charges should be made against Allotment No. 2502-10.

A [redacted]

Deputy Director (Administration)

Distribution:
Addressee - Orig. and 1
TSS/OC - 1
TSS/Admin - 1
DD/A Files - 1

APF: A-6

MKULTRA

Attached information has been prepared to assist O & L auditors and TSD personnel in processing MKULTRA vouchers.

1. Vouchers received from TSD are original and two. Entries should be placed on all three and they are to be forwarded as follows:

   Original - use as official voucher.
   1st copy - file copy for O & L section.
   2nd copy - to be forwarded with original for Accounts Branch to stamp with voucher number and then be returned to TSD for their files.

2. MKULTRA has the following three project funding mechanisms:

B [redacted]

3. The division and project numbers for General Ledger Account No. 1142.9 pertaining to the MKULTRA funding mechanisms are as follows:

H [redacted]

25 090022
25 090020
25 090021

4. Research Branch activities are identified by a numbered designation whereas the [redacted] Research Branch are identified by an alphabetical designation. As the [redacted] Research Branch's grants are always in the form of reimbursement, the attached information does not apply to that phase of MKULTRA.

Keep on Top

1/25/63

A [redacted]

A-6

PROJECT: MKULTRA — Research and Development Project

A Fiscal Annex governs Project financial procedures

Flow Chart: Funding Grantees, Accountings and G.L. Accts.

Attachment A
Direct to Grantee
Request for Payment
Dr. 601.0
Cr. Cash
Dr. 750.0
Cr. 799.0

Attachment B
Thru Funding Mech
Request for Advance
Dr. 142.9-180.0
Cr. Cash

Attachment C
Thru Cutouts, Indiv.
Request for Advance
Dr. 144.2-142.9
Cr. Cash

Attachment D
Reimburse Grantee
Reimbursement Vou.
Dr. 601.0
Cr. Cash

Mechanisms -
1. [redacted]
2.
3.

[redacted] charge a 4% handling fee which is costed

Writeoff - Evidence funds passed to Grantee

Acknowledgement that funds have been passed to Grantees - by quarterly acctgs supported with photo stats of cancelled cks and bank statements
Dr. 601.0
Cr. 142.9-
Dr. 750.0
Cr. 799.0

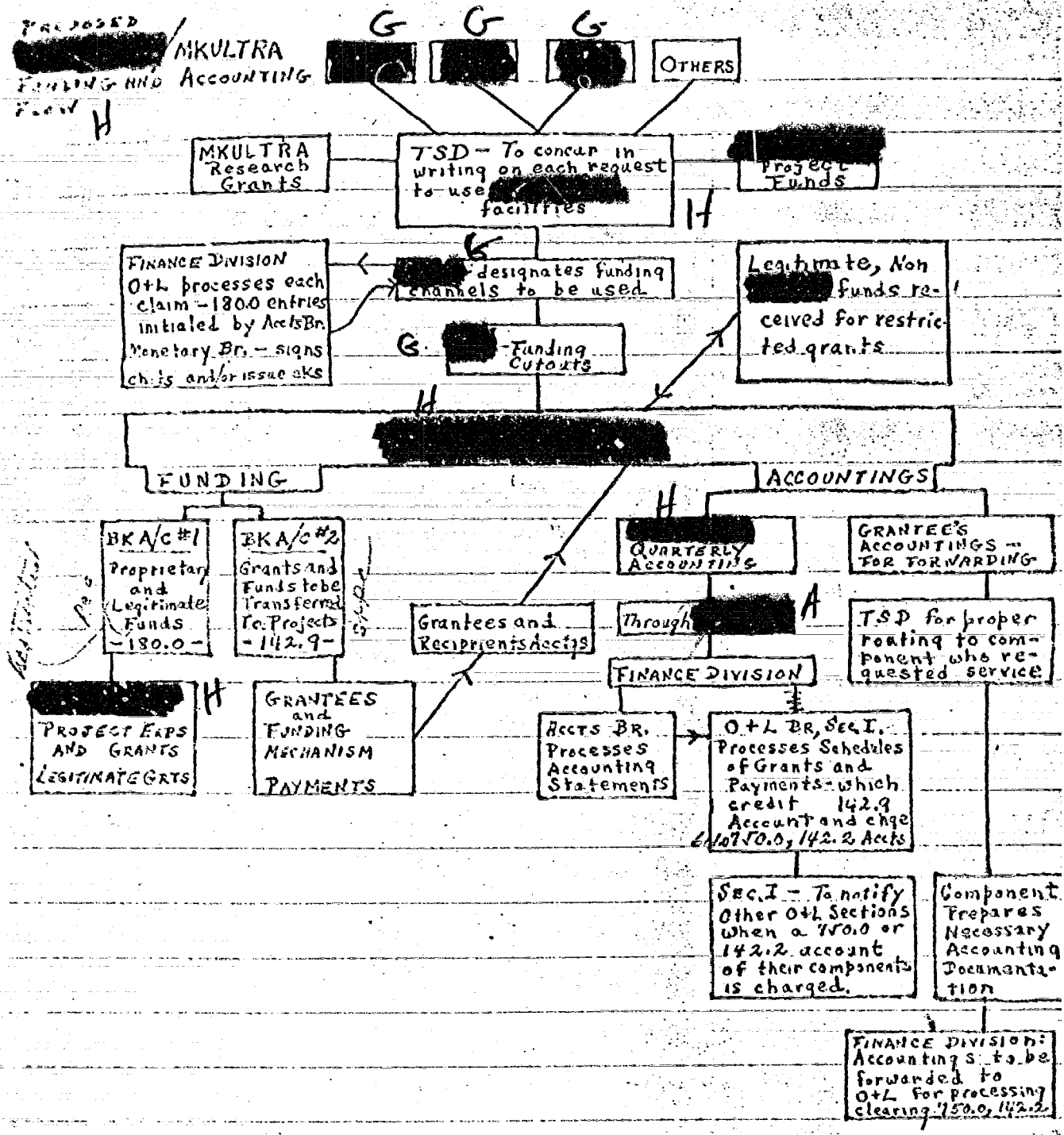
Acknowledgement of Receipts of Funds by Grantee
Dr. 601.0
Cr. 144.2-142.9
Dr. 750.0
Cr. 799.0

Reimbursement Vou. is supported by the same accountings and certifications

Grantees will submit accountings through channels to TSD. Due to the sensitivity of the research the accountings are retained by TSD who forwards certifications to finance Division attesting accountings, services rendered, and/or materials have been received and accountings may be reviewed at TSD
Dr. 799.0
Cr. 752.0

[redacted] is a proprietary, G.L. 180.0, acts as funding mechanism for MKULTRA it will include a quarterly Schedule of Grants Status as part of their accounting - this schedule will clear [redacted] of payments made to Grantees. [redacted] is now [redacted] cc. its Admin Plan.

A-6


[redacted] MKULTRA FUNDING AND ACCOUNTING FLOW
G G G
OTHERS
MKULTRA Research Grants
TSD – To concur in writing on each request to use [redacted] facilities
[redacted] Project Funds
FINANCE DIVISION O+L processes each claim – 180.0 entries initialed by Accts Br. Monetary Br. – signs checks and/or issue aks
[redacted] designates funding channels to be used
G [redacted] Funding Cutouts
Legitimate, Non [redacted] funds received for restricted grants
[redacted]
FUNDING
ACCOUNTINGS
BKA/c #1 Proprietary and Legitimate Funds – 180.0 –
BKA/c #2 Grants and Funds to be Transferred re Projects – 142.9 –
[redacted] QUARTERLY ACCOUNTING
GRANTEE'S ACCOUNTINGS – FOR FORWARDING
Grantees and Recipients Accts
Through [redacted] A
TSD for proper routing to component who requested service
[redacted] PROJECT EXPS AND GRANTS LEGITIMATE GRTS
GRANTEES and FUNDING MECHANISM PAYMENTS
FINANCE DIVISION
Accts Br. Processes Accounting Statements
O+L Br, Sec I. Processes Schedules of Grants and Payments – which credit 142.9 Account and chge 180.0, 142.2 Accts
Sec I – To notify Other O+L Sections when a 180.0 or 142.2 account of their components is charged.
Component Prepares Necessary Accounting Documentation
FINANCE DIVISION: Accountings to be forwarded to O+L for processing clearing 180.0, 142.2

A-6

ATTACHMENT A

Direct Payment to Grantee

1. See a copy of the MKULTRA Fiscal Annex "Attachment A" which is attached. Refer to this Attachment to make certain voucher falls under this category or meets the accounting requirements before processing.

2. Entries: (See attached sample for detailed coding requirements.)

   a. Processing "Request for Payment" vouchers -

      Dr. 601.0 (Costed)
      Cr. Cash
      Dr. ~~750.0~~ 760.0* (Establishes Memo Account)
      Cr. 799.0

   b. Processing accountings -

      Dr. 799.0
      Cr. ~~750.0~~ 760.0 as of April 1964

3. Refunds - see separate tab.

*Due dates will be established to allow eighteen (18) months from date of request.

A-6

Attachment A

ACCOUNTING FOR NONLIMA FUNDS TRANSMITTED TO GRANTEES

I. GENERAL

Where the relationship between the Agency and the grantee is such as to permit direct passage of the funds to the grantee, it is presumed the funds are within the effective control of the Agency until utilized. However, since these funds are in fact grants, memorandum accountability only will be maintained and will be dropped upon receipt from the project of evidence that the funds have been used for the purpose intended.

II. FINANCIAL ADMINISTRATION

A. Memorandum control records will be maintained in TSD to reflect the status of all funds advanced to each grantee. Each record will reflect the cryptonym or other identification assigned to the project and will have columns entitled Recording Date, Transmittal Letter Date, Advances, Accountings, and Balance. The record will be posted in the Advances column with amounts passed to the grantee, and in the accountings column with amounts disbursed as shown on approved accountings from the grantee. Accountings will be reviewed and, if deemed satisfactory, approved by the chief of the responsible branch prior to recording in the control record. If the accounting information is included in progress or operating reports, a certification from the chief of the responsible branch reflecting the amount expended may be used in lieu of an accounting. In those instances where a grantee fails to submit and diligent efforts have been made to obtain an accounting, the responsible Branch Chief may prepare a memorandum to the Chief, Technical Services Division requesting his approval for write-off of the amount involved. This memorandum will reflect the follow-up action previously taken and the reason(s) why the Branch Chief feels further action is considered useless. When approved the memorandum will be used in lieu of an accounting from the grantee.

accounting

B. The responsible branch of TSD will prepare and forward to the Finance Division a separate "statement" for each accounting received, identified to the appropriate grantee. The statement may be in the form of a memorandum to the Authorized Certifying Officer reflecting the use and status of funds held by the grantee, and will contain the certificate of the chief of the responsible branch that "I certify that to the best of my knowledge and belief the amount shown above was disbursed to or used for Agency authorized activities and services or material have been received, and further advances as may be directed by the Agency are warranted. The documents upon which this statement is based are maintained in the files of TSD for security reasons and will be made available for review by the Certifying Officer at his request."

C. The Finance Division Certifying Officer is empowered to accept the statements in paragraph II B above for the amounts shown therein as the basis for entries to the memorandum accounts subject to his later examination of the grantee accounting maintained in the files of TSD.

A-6

~~SECRET~~
(When Filled In)

| REQUEST FOR PAYMENT OF CONFIDENTIAL FUNDS | FROM: MKULTRA #126 | DATE | VOUCHER NO. (Finance use only) |
|---|---|---|---|
| | TO: See attached pmt instr. | | |

CONFIDENTIAL FUNDS ARE REQUESTED FOR OFFICIAL BUSINESS OF A CONFIDENTIAL, EXTRAORDINARY OR EMERGENCY NATURE AND ARE INTENDED FOR USE AS FOLLOWS:

Advance to MKULTRA #126, Invoice #6, for activity approved by Chief, TSD on _____ 19

Accounting for this advance will be in accordance with MKULTRA Fiscal Annex, Attachment A.

| PAYEE | PAYMENT INSTRUCTIONS | AMOUNT |
|---|---|---|
| | | $5,000.00 |

THE AMOUNT REQUESTED IS DUE THE PAYEE FOR SATISFACTORY PERFORMANCE OF DUTIES IN ACCORDANCE WITH THE TERMS OF HIS CONTRACT OR OTHER WRITTEN OR ORAL AGREEMENTS. *(To be signed when applicable)*

| DATE | TITLE | SIGNATURE |
|---|---|---|
| | | |

I CERTIFY FUNDS ARE AVAILABLE

| OBLIGATION REFERENCE NO. | CHARGE ALLOTMENT NO. |
|---|---|
| 223 | 3125-1390-3902 |

| DATE | SIGNATURE |
|---|---|
| | B & F Officer |

APPROVED

| DATE | SIGNATURE OF APPROVING OFFICER |
|---|---|
| | Responsible Branch Chief |

CERTIFICATE FOR PAYMENT OR CREDIT

| DATE | SIGNATURE OF CERTIFYING OFFICER |
|---|---|
| | |

RECEIPT FOR FUNDS

I ACKNOWLEDGE RECEIPT OF FUNDS TO BE USED FOR THE PURPOSE STATED ABOVE

| DATE | AMOUNT | SIGNATURE OF PAYEE |
|---|---|---|
| | | |

SPACE BELOW FOR EXCLUSIVE USE OF FINANCE DIVISION

| PREPARED BY | REVIEWED BY | VOUCHER NO. 7-12 |
|---|---|---|
| S | | |

| DESCRIPTION-ALL OTHER ACCOUNTS 13-33 / DESCRIPTION-ADVANCE ACCOUNTS 13-27 | 28-33 T/A NO. / PUR. ORDER NO. / DEV. | 34-39 STATION CODE / PROP. NO. / PROJECT NO. | 40-42 EXPEND CODE / FY | 45-46 PAY PER. L.O. CODE | 47-52 OBLIG. REF. NO. / ADVANCE ACCT. NO. / EMP. NO. | 53 CA YR | 54-57 GENERAL LEDGER ACCT. NO. | 59-67 ALLOT. LEDGER ACCT. NO. | 62-67 CK. NO. / X REF. NO. | 68-70 DUE DATE / OBJECT CLASS | 71-80 AMOUNT DEBIT | 71-80 AMOUNT CREDIT |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| MKU 126 INV 6 | | | 8813 | 1 | 223 | | 601.0 | 25 1390 | 3902 | 790 | 5000 00 | |
| MKL 126 INV 6 | ~~25 [illegible]~~ | | | | ~~[illegible]~~ | | ~~[illegible]~~ | | | | | 5'000'00 |
| INV 6 MOR 223 | 25 [illegible] | | | | 126 | | 760.0 | | | | 5'000'00 | |
| MKULTRA 126 | | | | | | | 799.0 | | | | | 5'000'00 |
| | | | | | | | | | | | | |
| | | | | | | | | | | | | |

~~SECRET~~

(39)

DIRECT ESKEW PAYMENT TO OFFICE

SECRET
(When Filled In)

A-6

# CONFIDENTIAL FUNDS POSTING VOUCHER

VOUCHER NO. 7-12 | DATE 2-6 | VOUCHER NO. 7-12

| DESCRIPTION-ALL OTHER ACCOUNTS 13-33 / DESCRIPTION-ADVANCE ACCOUNTS 13-27 | 28-33 T/A NO. / P.O. NO. / SUB DIV. | 34-39 STATION CODE / PROP. NO. / PROJECT NO. | 40-42 EXPEND CODE / FY | 43 FUNDS | 45-46 PAY PER. LIQ. CODE | 47-52 OBLIG. REF. NO. / ADVANCE ACCT. NO. / EMP. NO. | 53 CA YR | 54-57 GENERAL LEDGER ACCT. NO. | 58-67 ALLOT. OR COST ACCT. NO. | 62-67 CK. NO. / X REF. NO. | 68-70 DUE DATE / OBJECT CLASS | 71-80 AMOUNT DEBIT | AMOUNT CREDIT |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| MKULTRA 124 | | | | | | | | 799.0 | | | | 5'000'00 | |
| W/C INV. & MIR 223 | 25 | 720124 | | | | 126 | | 750.0 | | | | | 5'000'00 |

EXPLANATION OF ENTRY

ACCOUNTING WRITE OF IN ACCORDANCE WITH MKULTRA FISCAL ANNEX

TOTALS

WRITE OFF OF 750.0 MEALS ACCOUNT

| TYPE | PREPARED BY | DATE | REVIEWED BY | CERTIFIED FOR PAYMENT OR CREDIT: DATE | SIGNATURE OF CERTIFYING OFFICER |
|---|---|---|---|---|---|
| | | | | | |

SECRET

(10-68)

A-6

ATTACHMENT B

Payments to MKULTRA Project Funding Mechanisms for Passing to Grantees

1. See a copy of the MKULTRA Fiscal Annex "Attachment B" which is attached. Refer to this Attachment to make certain voucher falls under this category or meets the accounting requirements before processing.

2. Entries: (See attached samples for detailed coding requirements.)

   a. Processing "Request for Advance" vouchers - *1

      Dr. 142.9 (Advances in Transit)
      Cr. Cash

   B. When evidence received that Grantee has received funds from Project Funding Mechanism -

      Dr. 601.0 (Costed)
      Cr. 142.9
      Dr. ~~750.0~~ 760.0*2 (Establish Memo Account)
      Cr. 799.0

   c. Processing accounting -

      Dr. 799.0
      Cr. ~~750.0~~ 760.0 as of April 1964

3. Refunds - see separate tab.

*1 [redacted] and [redacted] charge a fee of 4% for grants they handle. The cost of these fees should be immediately costed to G.L. Account No. 601.0

*2 Due dates will be established to allow eighteen (18) months from date of request.

3. When there is a fee and an Amount to a Grantee, it requires (2) Checks.

A-6

Attachment B

ACCOUNTING FOR MKULTRA FUNDS TRANSMITTED THROUGH PROJECTS UNDER AGENCY CONTROL

I. GENERAL

A. Accountability for funds passed through projects under the control of TSD or other Agency components will follow the transferof such funds, and will be dropped only when the funds have been accounted for or passed to an entity over which the Agency exercises no control. Agency components controlling such projects will be directed to furnish TSD and Finance Division with documentary evidence of each such transfer made on behalf of MKULTRA.

B. Control of the movement of such funds rests with TSD and appropriate control and memorandum records will be maintained within TSD to indicate the status of these funds at all times for management and audit purposes.

II. FINANCIAL ADMINISTRATION

A. Advances made to projects or other entities under Agency control for purposes of funding MKULTRA grantees must be clearly identified as such, in order to separate them from advances provided for the operation of the project. These MKULTRA funds advanced to funding entities will be treated as funds in transit and accountability for these funds will be maintained until receipt of evidence that the funds have been passed to the grantee.

B. Projects or other Agency entities will be directed to furnish TSD and Finance Division with documentary evidence of each disbursement made to grantees on behalf of MKULTRA.

C. Control records will be maintained in TSD to reflect the status of all funds advanced to Agency entities for funding MKULTRA grantees. Each record will reflect the cryptonym assigned to the entity holding the funds, and will have columns entitled Recording Date, Grantee Identification, Transmittal Letter Date, Advances, Accountings, and Balance. The record will be posted in the Advances Column with amounts passed to the project, and in the Accountings column with amounts disbursed to MKULTRA grantees as shown on approved accountings from the project. Accountings will be reviewed and, if satisfactory, approved by the chief of the responsible branch prior to their being recorded in the control record.

D. The responsible branch will prepare a separate statement for attachment to each such accounting. The statement may be in the form of a memorandum to the Authorized Certifying Officer and will contain the certificate of the chief of the responsible branch that "I certify that to the best of my knowledge and belief, the amount(s) attributed to MKULTRA on the attached accounting were disbursed at Agency direction to authorized activities, services and/or material have been received, and further advances as may be directed by the Agency are warranted."

[redacted]

E. The Authorized Certifying Officer is empowered to accept the statement in para II D above for the amounts therein as the basis for entries crediting the account of the project which transmitted the funds and for making appropriate cost entries. Concurrently the Certifying Officer will record the amounts in the memorandum account of the grantee where they will be handled as advances to grantees as described in attachment A.

A6

[redacted]
(When Filled In)

| REQUEST FOR ADVANCE OF CONFIDENTIAL FUNDS | NAME OF ADVANCEE [redacted] | DATE | AMOUNT $7,500.00 | VOUCHER NO. (Finance use only) |
|---|---|---|---|---|
| | PAYABLE TO See attached | ROOM 8-E-63 | BUILDING | TELEPHONE EXT. X-67891 |

PURPOSE

To [redacted] for funding MKULTRA Sub-Project #142, Invoice #25, which activity was approved by Chief, TSD on _____ 1962.

Accounting to be in accordance with [redacted] Admin Plan and MKULTRA Fiscal Annex, Attachment B.

STATUS OF OUTSTANDING ADVANCES

| DATE | AMOUNT | UNACCOUNTED BALANCE |
|---|---|---|
| | | |
| | | |
| | | |
| | | |

*I agree that I will fully account for this advance by submission of vouchers and refund of any unexpended balance to the reporting point stated and by the due date checked below. In the event of my failure to so account and refund any unexpended balance, I authorize deduction from my salary to effect settlement.*

| REPORTING POINT | DUE DATE | ✓ |
|---|---|---|
| FINANCE DIVISION - HEADQUARTERS | | |
| | ON ARRIVAL AT DESTINATION ON OR ABOUT | |
| | MONTHLY - ON THE LAST WORKDAY OF EACH MONTH | |

| REQUESTING OFFICER | | APPROVED | | RECEIPT FOR FUNDS ADVANCED | |
|---|---|---|---|---|---|
| DATE | SIGNATURE | DATE | SIGNATURE OF APPROVING OFFICER | *I acknowledge receipt of funds in the amount stated hereunder to be used for the purpose stated and accounted for as shown above.* | |
| | | | Responsible Branch Chief | DATE | AMOUNT |
| I CERTIFY FUNDS ARE AVAILABLE | | CERTIFIED FOR PAYMENT OR CREDIT | | | |
| OBLIGATION REFERENCE NO. 123 | CHARGE ALLOTMENT NO. 3125-1390-3902 | DATE | AUTHORIZED CERTIFYING OFFICER | SIGNATURE OF ADVANCEE | |
| DATE | SIGNATURE B & F Officer | | | | |

SPACE BELOW FOR EXCLUSIVE USE OF FINANCE DIVISION

PREPARED BY G | REVIEWED BY | VOUCHER NO. 7-12

| DESCRIPTION - ALL OTHER ACCOUNTS 13-39 / DESCRIPTION - A/P ITEMS 13-33 | | 34-39 PAYABLE VOUCHER NO. | 40-42 TRANS. CODE | 43-44 PAY PER. LIO. CODE | 47-52 OBLIG. RECORD ADVANCE ACCT. NO. EMP. NO. | 53 F. Y. | 54-57 GENERAL LEDGER ACCOUNT NO. | 59-67 ALLOT. LEDGER ACCOUNT NO. | 62-67 CK. NO. R. VOU. NO. | 68-70 DUE DATE OBJECT CLASS | 71-80 AMOUNT DEBIT | 71-80 AMOUNT CREDIT |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 13-24 DESCRIPTION - ADVANCE ACCOUNTS | | | | | | | | | | | | |
| MKU 142 INV 25 | | 25 090021 | | | 123 | | 142.9 | | | | 7,500.00 | |
| [redacted] ULTRA | | | | | | | | | | | | 7,500.00 |
| | | | | | | | | | | | | |
| | | | | | | | | | | | | |

ADVANCE TO FUNDING MECHANISM FOR PASSING TO MKULTRA GRANTEE

[redacted]

(38-49)

42

SECRET
(When Filled In)

# ACCOUNTING BY INDIVIDUAL FOR ADVANCE

NOTE: Follow Instructions on Reverse

SUBMITTED BY: [redacted]

PERIOD OF ACCOUNTING — FROM: NA — TO:

VOUCHER NO. (Finance use only)

## RECEIPTS

| 2. RECEIPT NUMBER | DATE | DESCRIPTION | $ |
|---|---|---|---|
| 1. CASH ON HAND BEGINNING OF PERIOD | | | |
| 12. | | | |
| | | Advance to fund MKULTRA #142, | |
| | | Invoice #25 | 7,500.00 |
| TOTAL TO ACCOUNT FOR | | | $7,500.00 |

## DISBURSEMENTS

| 3. VOUCHER NUMBER | DATE | DESCRIPTION | AMOUNT |
|---|---|---|---|
| | | See attached documentation | $ |
| | | evidencing funds passed to | |
| | | MKULTRA Grantee | 7,500.00 |
| 3a. | | | |
| 4. REFUNDED HEREWITH | | CASH | CHECK | MONEY ORDER | |
| 5. CASH ON HAND END OF PERIOD | | | |
| TOTAL ACCOUNTED FOR | | | $7,500.00 |

I CERTIFY FUNDS ARE AVAILABLE

OBLIGATION REFERENCE NO.: 123

CHARGE ALLOTMENT NO.: 3125-1390-3902

DATE:

SIGNATURE OF AUTHORIZING OFFICER: B & F Officer

APPROVED

DATE:

SIGNATURE OF APPROVING OFFICER: Responsible Branch Chief

CERTIFIED FOR PAYMENT OR CREDIT

DATE:

SIGNATURE OF CERTIFYING OFFICER:

*I certify that the expenditures listed hereon and on any attachments were incurred for official purposes of a confidential nature, that payment or credit therefor has not been received, and that this accounting is true and correct.*

SIGNATURE OF PAYEE:

SPACE BELOW FOR EXCLUSIVE USE OF FINANCE DIVISION

PREPARED BY:

REVIEWED BY:

VOUCHER NO. 7-12

| 23-39 DESCRIPTION • ALL OTHER ACCOUNTS / DESCRIPTION • A/P ITEMS 13-33 / DESCRIPTION • ADVANCE ACCOUNTS 13-24 | 34-39 PAYABLE VOU. NO. | 40-42 EXPEND CODE | 45-46 PAY PER. LIQ. CODE | 47-52 OBLIG REF. NO. / ADVANCE ACCT. NO. / EMP. NO. | 53 FI YR | 54-57 GENERAL LEDGER ACCT. NO. | 59-67 ALLOT. LEDGER ACCT. NO. | 62-67 CK. NO. / X VOU. NO. | 68-70 DUE DATE / OBJECT CLASS | 71-80 AMOUNT DEBIT | AMOUNT CREDIT |
|---|---|---|---|---|---|---|---|---|---|---|---|
| MKU 142 INV 25 | | 883 | 1 | 123 | | 601.0 | 25 | 1390390 | 79c | 7,500.00 | |
| MKU 142 INV 25 W/C | 25 090021 | | | 123 | | 142.9 | | | | | 7,500.00 |
| INV 25 MOR 123 | 25 720121 | | | 14V | | 760.0 | 7 | | | 7,500.00 | |
| MKULTRA 142 | | | | | | 799.0 | | | | | 7,500.00 |
| | | | | | | | | | | | |
| | | | | | | | | | | | |

FORM NO. 282 1 MAR 57 USE PREVIOUS EDITIONS.

SECRET

(1)

ACCOUNTING BY FUNDING MECHANISM FOR FUNDS PASSED TO MKULTRA GRANTEE

A-6

~~SECRET~~
(When Filled In)

# CONFIDENTIAL FUNDS POSTING VOUCHER

VOUCHER NO. 7-12 | DATE 2-6 | VOUCHER NO. 7-12

| DESCRIPTION-ALL OTHER ACCOUNTS 13-33 / DESCRIPTION-ADVANCE ACCOUNTS 13-27 | 28-33 T/A NO. / P.O. NO. / DIV | 34-39 STATION CODE / PROP. NO. / PROJECT NO. | 40-42 EXPEND CODE / FY | 43 FUNDS | 45-46 PAY PER. LIQ. CODE | 47-52 OBLIG. REF. NO. / ADVANCE ACCT. NO. / EMP. NO. | 53 CA YR | 54-57 GENERAL LEDGER ACCT. NO. | 58-67 ALLOT. OR COST ACCT. NO. | 62-67 CK. NO. / X REF. NO. | 68-70 DUE DATE / OBJECT CLASS | 71-80 AMOUNT DEBIT | AMOUNT CREDIT |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| MKULTRA 142 | | | | | | | | 799.0 | | ✓ | | 7500.00 | |
| 1/2 INV 25 MAR 123 25 | | 720121 | | | | 142 | | 760.0 | | | | | 7500.00 |
| | | | | | | | | | | | | | |
| | | | | | | | | | | | | | |
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| | | | | | | | | | | | | | |

EXPLANATION OF ENTRY

ACCOUNTING WRITE OFF IN ACCORDANCE WITH MKULTRA FISCAL ANNEX

TOTALS

| DATE | PREPARED BY | DATE | REVIEWED BY | CERTIFIED FOR PAYMENT OR CREDIT: DATE | SIGNATURE OF CERTIFYING OFFICER |
|---|---|---|---|---|---|
| | | | | | |

FORM 10-59 606 USE PREVIOUS EDITIONS.

~~SECRET~~

(10-49)

A-6

ATTACHMENT C

H

Payment to Individuals, Cutouts, and other [redacted] Projects for Passing to Grantees

1. See a copy of the MKULTRA Fiscal Annex "Attachment C" which is attached. Refer to this Attachment to make certain voucher falls under this category or meets the accounting requirements before processing.

2. Entries: (See attached samples for detailed coding requirements.)

   a. Processing "Request for Advance" vouchers -

| | | |
|---|---|---|
| Dr. | 142.9 | (Advances in Transit) |
| Cr. | Cash | |

   b. When evidence received that Grantee has received funds from individual, cutout, or project -

| | | |
|---|---|---|
| Dr. | 601.0 | (Costed) |
| Cr. | 142.9 | |
| Dr. | ~~750.0~~ 7600* | (Establish Memo Account) |
| Cr. | 799.0 | |

   c. Processing accounting -

| | | |
|---|---|---|
| Dr. | 799.0 | |
| Cr. | ~~750.0~~ 7600 as of April 1964 | |

3. Refunds - see separate tab.

* Due dates will be established to allow eighteen (18) months from date of request.

A-6

Attachment C

MKULTRA FUNDS PASSED THROUGH CUT-OUTS

1. GENERAL

A. Funds advanced to and held by cut-outs for the purpose of funding MKULTRA grantees are considered to be within the control of the Agency and will be so treated within Agency records. Accountability for such funds will follow the transfer of the funds and will be dropped only when funds have been accounted for or passed to a grantee.

B. Agreements made with cut-outs will be reduced to writing; will contain the basic elements of a contract, including the fee to be paid by the Agency; will provide for financial reports as prescribed by the Agency; and will provide that any unused grants are the property of the Agency.

C. Agency funds advanced to cut-outs will be deposited to bank accounts established for the sole purpose of receiving and disbursing Agency funds. The cut-out will execute a Declaration of Trust that the funds therein are the property of the United States Government.

D. Appropriate control records for management and audit purposes will be maintained at all times within TSD to indicate the status of funds advanced to cut-outs.

II. FINANCIAL ADMINISTRATION

A. Funds advanced to cut-outs will be treated as funds in transit and accountability for these funds will be maintained until receipt of evidence that the funds have been passed to the grantee. Requests for advances will indicate the amount of the advance which will be passed to the grantee and the amount which will be retained by the cut-out as fees.

B. Cut-outs will be directed to submit a report at least quarterly reflecting the status of all funds advanced by the Agency. The report will reflect the disbursements identified to specific grantees and/or projects, and the balance on hand at the end of the period. (The cut-out accounting will remain in the files of TSD.) A photostatic copy of the bank statement together with copies of the cancelled checks will be submitted as soon as possible after their receipt by the cut-out.

C. Individual control records will be maintained in TSD to reflect the status of all funds advanced to cut-outs for MKULTRA activities. Each record will reflect the name or cryptonym assigned to the cut-out and will have columns entitled Recording Date, Grantee Identification, Transmittal Letter

Date, Advances, Accountings, and Balance. Two memorandum columns will be maintained by calendar year to reflect the amount of fee for each grant and a cumulative amount of all fees. The record of each cut-out will be posted in the Advances column with amounts passed to the cut-out, and in the Accountings column with amounts disbursed to grantees as shown on approved accountings from the cut-out. Fees to the cut-out will be posted to the record at the time the advance to the cut-out is recorded. Accountings will be reviewed and, if deemed satisfactory, approved by the Chief, of the responsible branch prior to being recorded in the Control record.

D. The responsible branch of TSD will prepare and forward to the Finance Division a seperate "statement" for each accounting received from a cut-out. The statement may be in the form of a memorandum addressed to the Authorized Certifying Officer and will reflect the use and status of funds held by the cut-out and the amounts disbursed to each grantee. The statement will also include the certificate of the chief of the responsible branch that "I certify that to the best of my knowledge and belief the amounts listed as grants on the above statement were disbursed at Agency direction to authorized activities, fees have been earned and further advances as may be directed by the Agency are warranted."

E. The Authorized Certifying Officer is empowered to accept the statement in para II D above as the basis for entries crediting the account of the cut-out and for making appropriate cost entries for amounts passed to grantees, subject to his later examination of the cut-out accounting maintained in the files of TSD. Concurrently the Certifying Officer will record the amounts passed to the grantee in the memorandum accounts where they will be handled as advances to grantees as described in attachment A. The Finance Division accounts balances will be reconciled to balances shown on TSD records at least quarterly by the Certifying Officer.

AL

SECRET
(When filled In)

# REQUEST FOR ADVANCE OF CONFIDENTIAL FUNDS

| NAME OF ADVANCEE | DATE | AMOUNT | VOUCHER NO. (Finance use only) |
|---|---|---|---|
| MKULTRA | | $10,000.00 | |
| PAYABLE TO [redacted] | ROOM [redacted] | BUILDING [redacted] TELEPHONE EXT. | |

PURPOSE

Advance to be forwarded to MKULTRA Sub-Project #114, Invoice #23, by [redacted] in accordance with Attachment C of the MKULTRA Fiscal Annex.

STATUS OF OUTSTANDING ADVANCES

| DATE | AMOUNT | UNACCOUNTED BALANCE |
|---|---|---|
| | | |
| | | |
| | | |
| | | |

*I agree that I will fully account for this advance by submission of vouchers and refund of any unexpended balance to the reporting point stated and by the due date checked below. In the event of my failure to so account and refund any unexpended balance, I authorize deduction from my salary to effect settlement.*

| REPORTING POINT | DUE DATE | ✓ |
|---|---|---|
| FINANCE DIVISION - HEADQUARTERS | | |
| | ON ARRIVAL AT DESTINATION ON OR ABOUT | |
| | MONTHLY - ON THE LAST WORKDAY OF EACH MONTH | |
| | | |

REQUESTING OFFICER

DATE

SIGNATURE [redacted]

I CERTIFY FUNDS ARE AVAILABLE

OBLIGATION REFERENCE NO. 628

CHARGE ALLOTMENT NO. 3125-1390-3902

DATE

SIGNATURE B & F Officer

APPROVED

DATE

SIGNATURE OF APPROVING OFFICER

Responsible Branch Chief

CERTIFIED FOR PAYMENT OR CREDIT

DATE

AUTHORIZED CERTIFYING OFFICER

RECEIPT FOR FUNDS ADVANCED

*I acknowledge receipt of funds in the amount stated hereunder to be used for the purpose stated and accounted for as shown above.*

DATE

AMOUNT

SIGNATURE OF ADVANCEE

SPACE BELOW FOR EXCLUSIVE USE OF FINANCE DIVISION

PREPARED BY

REVIEWED BY

VOUCHER NO. 7-12

| DESCRIPTION - ALL OTHER ACCOUNTS 13-39 / DESCRIPTION - A/P ITEMS 13-33 / 13-24 DESCRIPTION - ADVANCE ACCOUNTS | 34-39 PAYABLE VOUCHER NO. | 40-42 TRANS. CODE | 45-46 PAY PER. LIQ. CODE | 47-52 OBLIG. RECORD - ADVANCE ACCT. NO. / EMP. NO. | 53 F. Y. | 54-57 GENERAL LEDGER ACCOUNT NO. | 59-67 ALLOT. LEDGER ACCOUNT NO. | 62-67 CK. NO. / V. VOU. NO. | 68-70 DUE DATE / OBJECT CLASS | 71-80 AMOUNT DEBIT | AMOUNT CREDIT |
|---|---|---|---|---|---|---|---|---|---|---|---|
| MKU 114 INV 23 | 24766000 | | | 628 | | 1429 | | | | 10,000.00 | |
| [redacted] | | | | | | | | | | | 10,000.00 |
| | | | | | | | | | | | |
| | | | | | | | | | | | |

ADVANCE TO INDIVIDUAL FOR PASSING TO MKULTRA GRANTEE

Form 00 [illegible] previous editions.

SECRET

(36-49)

A-6

[redacted]
(When Filled In)

# ACCOUNTING BY INDIVIDUAL FOR ADVANCE

NOTE: *Follow Instructions on Reverse*

SUBMITTED BY: [redacted]

VOUCHER NO. *(Finance use only)*:

PERIOD OF ACCOUNTING — FROM: NA — TO:

| RECEIPTS | | | | DISBURSEMENTS | | | |
|---|---|---|---|---|---|---|---|
| 1- CASH ON HAND BEGINNING OF PERIOD | | $ | | 3. VOUCHER NUMBER | DATE | DESCRIPTION | AMOUNT |
| 2. RECEIPT NUMBER | DATE | DESCRIPTION | | | | See attached documentary evidence | |
| | | | | | | that funds received by Grantee | 10,000.00 |
| | | Advance to fund MKULTRA #144, | | | | | |
| | | Invoice 23 | 10,000.00 | | | | |
| | | | | 3a. | | | |
| | | | | 4. REFUNDED HEREWITH | | CASH / CHECK / MONEY ORDER | |
| | | | | 5. CASH ON HAND END OF PERIOD | | | |
| TOTAL TO ACCOUNT FOR | | | $10,000.00 | TOTAL ACCOUNTED FOR | | | $10,000.00 |

| I CERTIFY FUNDS ARE AVAILABLE | | APPROVED | | |
|---|---|---|---|---|
| OBLIGATION REFERENCE NO. | CHARGE ALLOTMENT NO. | DATE | SIGNATURE OF APPROVING OFFICER | *I certify that the expenditures listed hereon and on any attachments were incurred for official purposes of a confidential nature, that payment or credit therefor has not been received, and that this accounting is true and correct.* |
| 628 | 3125-1390-3902 | | Responsible Branch Chief | |

| DATE | SIGNATURE OF AUTHORIZING OFFICER | CERTIFIED FOR PAYMENT OR CREDIT | | SIGNATURE OF PAYEE |
|---|---|---|---|---|
| | | DATE | SIGNATURE OF CERTIFYING OFFICER | |
| | B & F Officer | | | |

SPACE BELOW FOR EXCLUSIVE USE OF FINANCE DIVISION

| PREPARED BY | REVIEWED BY | VOUCHER NO. 7-12 |
|---|---|---|

| 23-39 DESCRIPTION / ALL OTHER ACCOUNTS | DESCRIPTION - A/P ITEMS 13-33 | DESCRIPTION - ADVANCE ACCOUNTS 13-24 | 34-39 PAYABLE VOU. NO. | 40-42 EXPEND CODE | 43-46 PAY PER. LIQ. CODE | 47-52 OBLIG REF. NO. / ADVANCE ACCT. NO. / EMP. NO. | 53 FI YR | 54-57 GENERAL LEDGER ACCT. NO. | 59-67 ALLOT. LEDGER ACCT. NO. | 62-67 CK. NO. / X VOU. NO. | 68-70 DUE DATE / OBJECT CLASS | 71-80 AMOUNT DEBIT | AMOUNT CREDIT |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| MKC 144 INV 23 | | | | 883 | 1 | 628 | | 601.0 | 25 13903902 | | 790 | 10,000.00 | |
| MKC 144 INV 23 w/o | | | 25760000 | | | 628 | | 142.9 | | | | | 10,000.00 |
| INV 23 NCR 628 | | | 25720121 | | | 000144 | | 750.0 | | | | 10,000.00 | |
| MKULTRA 144 | | | | | | | | 799.0 | | | | ~~10,000.00~~ | 10,000.00 |
| | | | | | | | | | | | | | ~~10,000.00~~ |

[redacted]

ACCOUNTING BY INDIVIDUAL FOR FUNDS PASSED TO MKULTRA GRANTEE

A-6

~~SECRET~~
(When Filled In)

# CONFIDENTIAL FUNDS POSTING VOUCHER

VOUCHER NO. 7-12 | DATE 2-6 | VOUCHER NO. 7-12

| DESCRIPTION-ALL OTHER ACCOUNTS 13-33 / DESCRIPTION-ADVANCE ACCOUNTS 13-27 | 23-33 T/A NO. / P.O. NO. / PROJECT NO. | 34-39 STATION CODE / PROP. NO. | 40-42 EXPEND CODE / FY | 43 FUNDS | 45-46 PAY PER. LIQ. CODE | 47-52 OBLIG. REF. NO. / ADVANCE ACCT. NO. / EMP. NO. | 53 CA YR | 54-57 GENERAL LEDGER ACCT. NO. | 58-67 ALLOT. OR COST ACCT. NO. | 62-67 CK. NO. / X REF. NO. | 68-70 DUE DATE / OBJECT CLASS | 71-80 AMOUNT DEBIT | AMOUNT CREDIT |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| MKULTRA 1144 | | | | | | | | 799.0 | 1 | | | 10.000.00 | |
| W/O ENV 23 MOR | 6.28.25 | 720121 | | | | 1144 | | 750.0 | c | | | | 10.000.00 |

EXPLANATION OF ENTRY

Accounting- WRITE OFF IN ACCORDANCE WITH MKULTRA FISCAL ANNEX.

W/O 750.d Memo Account

| DATE | PREPARED BY | DATE | REVIEWED BY | CERTIFIED FOR PAYMENT OR CREDIT: DATE | SIGNATURE OF CERTIFYING OFFICER |
|---|---|---|---|---|---|
| | | | | | |

... 1-56 AND PREVIOUS EDITIONS.

~~SECRET~~

110-491

ATTACHMENT D

Reimbursement to Grantee (may be through project, cutout, individual, or funding mechanisms)

1. See an excerpt of the MKULTRA Fiscal Annex which is attached. Refer to this excerpt to make certain voucher falls under this category before processing.

2. Only entry: (No Follow-Up Required)

| | | |
|---|---|---|
| Dr. | 601.0 | (Costed) |
| Cr. | Cash | |

3. Refunds - see separate tab. (Generally there should be no refunds affecting entries under this category.)

4-6

III. APPROVALS

A. Budget proposals from prospective grantees will be reviewed by the responsible Branch Chief and forwarded by memorandum to the Chief, Technical Services Division. This memorandum will include a statement regarding the type and depth of accounting expected from the grantee and the frequency of such accountings. After approval by the Chief, TSD, the amount of the budget proposal will be obligated on the allotment records maintained by TSD.

B. The Technical Services Division is authorized to advance funds directly to grantees, to cut-outs, or to funding mechanisms (projects) under the control of TSD or other Agency components, in amounts consistent with requirements stated in the budget proposals. At the discretion of the Chief, TSD, or his designee, funds may be advanced in the total amounts of budget proposals but should be limited to partial amounts in those instances where the relationship with the grantee permits.

IV. ACCOUNTING TREATMENT

Since the Agency relationship with each project in the MKULTRA activity largely determines the choice of funding methods to be used, this relationship will govern the accounting treatment to be given advances and accountings. The accounting treatment will be based on the following general precepts:

A. Memorandum accountability for funds passed directly or indirectly to grantees will be dropped upon receipt of evidence that the funds have been used for the purposes intended.

B. Accountability for funds passed to projects under the control of TSD or other Agency components for the purpose of funding grantees will follow the transfer of such funds, and will be dropped upon receipt of evidence the funds have been passed to a grantee or otherwise accounted for.

C. Accountability by cut-outs for funds passed to them will be dropped upon receipt of evidence that the cut-out has passed the funds to the project.

D. Claims for reimbursement of disbursements made from funds belonging to a project, another entity, or an individual, will be charged to costs when paid and no follow-up will be required other than evidence that the payee actually received payment.

V. FINANCIAL ADMINISTRATION

Financial Administration of MKULTRA funds under each of the circumstances cited in Para. IV, A through C above are further delineated in attachments A through C.

APPROVED _____
Chief, Technical Services Division

APPROVED _____
Chief, Finance Division

APPROVED [redacted]

[redacted]

A-6

FISCAL ANNEX MKULTRA

1. BACKGROUND AND AUTHORITY

A. On 6 June 1952, the Project Review Committee approved the DD/P/TSS Research Program. The PRC approval authorized the Director of Research, at his discretion and with the approval of the Research Chairman, to obligate research funds and to apportion them among individual research projects, such projects to be subject to the usual Agency procedures and administrative controls.

B. However, in a memorandum to the DD/A, dated 13 April 1953, the DCI recognized that the ultra-sensitive nature of certain research projects in the Research Program precludes the handling of these projects by means of usual direct contractual relationship. In order to conceal US Government interest in or sponsorship of such projects the DCI memorandum authorized the Technical Services Division to consumate agreements with others to act as ostensible principals or cut-outs in developing and maintaining the desired relationships with organizations engaged in research in those ultra-sensitive areas of interest to TSD. The ultra-sensitive portion of the Research Program was identified in the DCI memorandum by the cryptonym MKULTRA.

C. The purpose of this paper is to establish procedures for the control and financial administration of funds advanced or disbursed on behalf of MKULTRA activities.

D. For the purposes of this paper, the following definitions will apply:

PROJECT - Operational activity subject to formal Agency approval procedures to which funds and other resources are allotted for use in performance, established by TSD or other elements for the support including funding of MKULTRA activity.

CUT-OUT - Entity or individual used by TSD for sole purpose of providing covert funding channel for MKULTRA activity.

GRANTEE - Ultimate recipient of funds for research provided under MKULTRA activity.

II. AGENCY CONTROL OF FUNDS

A. The degree of control to be exercised by the Agency over funds advanced under program MKULTRA, and the point at which accountability for these funds is relinquished shall be determined by the Agency relationship with elements holding such funds. Funds advanced to and held by cut-outs, an entity under the control of any Agency component, and other Government Agencies are considered to be within the control of the Agency and will be so treated in Agency records. Funds advanced or passed to non-Agency personnel engaged in research are considered to be grants and will be charged to costs upon evidence the funds have been passed to the grantee. Control over funds held by grantees will be exercised through the use of memorandum accounts.

(When Filled In)

# REIMBURSEMENT VOUCHER FOR PURCHASES AND SERVICES OTHER THAN PERSONAL

NAME OF CLAIMANT: [redacted] C

CHARGE TO ALLOTMENT OR PROJECT: MKULTRA

VOUCHER NO. (Finance use only):

REIMBURSEMENT OR PAYMENT IS CLAIMED FOR MATERIALS, SERVICES, OR OTHER EXPENDITURES ITEMIZED BELOW WHICH ARE PROPERLY CHARGEABLE TO THE ALLOTMENT OR PROJECT DESIGNATED.

| DESCRIPTION OF EXPENDITURE - ATTACH RECEIPTS AND OTHER SUPPORTING DOCUMENTS | AMOUNT |
|---|---|
| C Payment to [redacted] for MKULTRA Sub-Project #100, Invoice #2, per paragraph IV D. of the MKULTRA Fiscal Annex. I certify that to the best of my knowledge and belief the amount shown as having been disbursed for Agency authorized activities and services or material have been received. The documents upon which this statement is based are maintained in the files of TSD for security reasons and will be made available to the Certifying Officer upon his request. | $4,000.00 |

I CERTIFY THAT THIS VOUCHER AND ANY ATTACHMENTS ARE CORRECT, THE EXPENDITURES WERE INCURRED ON OFFICIAL BUSINESS OF A CONFIDENTIAL, EXTRAORDINARY, OR EMERGENCY NATURE; PAYMENT OR CREDIT HAS NOT BEEN RECEIVED, AND I SHALL NOT BE REIMBURSED FROM ANY OTHER SOURCE.

| I CERTIFY FUNDS ARE AVAILABLE | | APPROVED | | DATE | SIGNATURE OF PAYEE |
|---|---|---|---|---|---|
| OBLIGATION REFERENCE NO. | CHARGE ALLOTMENT NO. | DATE | SIGNATURE OF APPROVING OFFICER | | |
| 323 | 3125-1390-3902 | | Responsible Branch Chief | PAYMENT RECEIVED IN THE AMOUNT OF $ | |
| DATE | SIGNATURE OF AUTHORIZING OFFICER | CERTIFIED FOR PAYMENT OR CREDIT | | | |
| | B & F Officer | DATE | SIGNATURE OF CERTIFYING OFFICER | DATE | SIGNATURE OF RECIPIENT |

SPACE BELOW FOR EXCLUSIVE USE OF FINANCE DIVISION

PREPARED BY | REVIEWED BY | VOUCHER NO. 7-12

| DESCRIPTION-ALL OTHER ACCOUNTS 13-33 / DESCRIPTION-ADVANCE ACCOUNTS 13-27 | 28-33 T/A NO. / PUR. ORDER NO. / 32-33 DIV | 34-39 STATION CODE / PROP. NO. / PROJECT NO. | 40-42 EXPEND CODE / FY | 43 FUNDS | 45-46 PAY PER. LIQ. CODE | 47-52 OBLIG. REF. NO. / ADVANCE ACCOUNT NO. / EMP. NO. | 53 CA YR | 54-57 GENERAL LEDGER ACCOUNT NO. | 58-67 ALLOT. OR COST ACCT. NO. | 62-67 CK. NO. / X REF. NO. | 68-70 DUE DATE / OBJECT CLASS | 71-80 AMOUNT DEBIT | 71-80 AMOUNT CREDIT |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| MKU 100 INV 323 | | | 883 | 1 | | 000323 | | 601.0 | 25 1390 | 3902 | 790 | 4,000.00 | |
| MKU 100 INV 323 | | | | | | | | | | | | | 4,000.00 |
| | | | | | | | | | | | | | |
| | | | | | | | | | | | | | |
| | | | | | | | | | | | | | |
| | | | | | | | | | | | | | |
| | | | | | | | | | | TOTALS | | | |

FORM 6-59 264 USE PREVIOUS EDITIONS.

SECRET

(49)

REIMBURSEMENT TO INDIVIDUAL, CUTOUT, PROJECT, OR FUNDING MECHANISM HAVING PAID CHARGES

A-6

REFUNDS

1. See the attached copy of a memorandum which states the requirements when refunds are diverted to other Grantees.

2. There may be two types of refunds:

   a. Cash
   Refunds in cash will require tracing the funds from the original request then backing the amount of refund out of the originally affected accounts.

   b. Bookkeeping
   When the Grantee returns funds to funding mechanism, cutout, etc. and they are to be directed to another Grantee, MKULTRA officials will furnish Finance Division with the required certification. This type of refund will also require tracing the funds from the original request of the grantee returning the funds and making adjustments to all the affected accounts.

APF-A-7

24 April 1953

MEMORANDUM FOR: CHIEF, FINANCE DIVISION

SUBJECT : Accounting Treatment of Refunds under Project MKULTRA

1. During a recent audit of Project MKULTRA a member of the Audit Staff brought to the attention of TSS the subject of refunds made of monies disbursed under Project MKULTRA. TSS understands that at the present time funds advanced under MKULTRA are written off to expense at the time the advance is made in accordance with the DD/P memorandum to the DCI dated 3 April 1953, and extensions thereof in subsequent memoranda. Two situations arise regarding such refunds as follows:

a) It sometimes happens that funds which are passed through a cutout to a contractor for the completion of a particular phase of a subproject are not completely expended, and a refund is therefore to be made. For security reasons, although such refunds can be made to the cutout, the funds cannot be returned by the cutout to the Agency. When accountings are received by the cutout at the end of such a subproject, the accountings show the amount of unexpended funds remaining under the subproject. The cutout then immediately requests the contractor to refund the amount in question to the cutout. If it so happens that the particular subproject has been terminated or completed, TSS would then like to apply the balance of the funds to other subprojects. We realize that the allotment status of these funds requires an accounting entry on Agency Books of Record. In order to assist the Finance Division to record properly the accounting entry required, it is proposed that the following certification be issued regarding unexpended funds to returned to the cutout.

"It is hereby certified that the program under subproject 57 has been satisfactorily completed. It is requested, therefore, that $ 20,34.11 on invoice # 1 of subproject 13 be credited to subproject 57. This credit

represents the return of unused funds of subproject 57 originally charged to Allotment FY-2502-10-001, MOA _____."

b) In cases where there are funds remaining in a subproject which were not used during a prior fiscal year and where additional funds for the current fiscal year have been approved, an accounting entry will be made reflecting properly the unused portion of the funds so advanced and crediting properly the fiscal year concerned. In the case of refunds of this type, it is proposed that the following certification be submitted:

"It is hereby certified that under subproject _____ at the close of FY ____ a balance of $_____ representing unused funds remained in subproject _____. Additional funds (FY-2502-10-001) have been approved for continuing subproject _____. It is requested, therefore, that $_____ of Invoice # _____ be credited subproject _____ as a return of unused funds (FY-2502-10-001), MOA _____."

3. These certifications will be forwarded to your office for processing after they have been properly obligated by the TSS Budget Officer and properly approved.

4. Should you concur in the foregoing, it is requested that you so indicate on the original of this memorandum which is to be returned to TSS. Two copies are attached for your files.

[redacted]
Chief, BD/P/TSS

CONCUR:

[redacted]
Chief, Finance Division

Date: 4/29/58

A-7

CERTIFICATION

I have received an accounting from Sub-Project 02, for Invoice 0, in the amount of $00,000.00. The accounting is being retained in the office of TSL where it may be reviewed by the Certifying Officer upon request.

I further certify that satisfactory service represented by the accounting have been received and that to the best of my knowledge the funds advanced for such services were expended for the purpose for which advanced.

_____

_____
Date

A-7

CERTIFICATION

Accountings from the below listed Sub-Projects have been received, have been retained in this Division, and are available for review by the Certifying Officer upon request:

| Sub-Project | Invoice | Amount |
|---|---|---|
| i.e 00 | 0 | $0,000.00 |
| 11 | 1 | 1,000.00 |
| 22 | 1 | 2,000.00 |

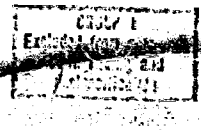
The accountings are being retained in the office of TSD where they may be reviewed by the Certifying Officer upon request.

I certify that satisfactory services represented by the accountings have been received and that to the best of my knowledge the funds advanced for such services were expended for the purpose for which advanced.

_____

_____
Date

Drafted specially for use during recapitulation exercise of past two years.



APF-A-8

TRANSMITTAL SLIP | DATE 9

TO: MR [redacted] A

ROOM NO. | BUILDING

REMARKS:

a work sheet of coding directions for MKULTRA transactions for Section I. For your consideration

already checked out with

A [redacted].

A FROM: [redacted]

ROOM NO. | BUILDING | EXTENSION

FORM NO. 241 1 FEB 55 REPLACES FORM 36-8 WHICH MAY BE USED. GPO: 1957—O-439445

A-8

CODING MKULTRA TRANSACTIONS

G. L. ACCOUNT 142.9 (Project Advances in Transit) This account will be used to record passage of funds to the MKULTRA grantee via a funding mechanism or a "cutout". At the time funds are disbursed from Headquarters, the charge will be made to G. L. 142.9; at the time an accounting is received from the funding mechanism showing disbursement of the funds to the grantee, Account 142.9 will be credited and a simultaneous charge to Expense and debit to a Memo Account will be made. The coding of debits to Account 142.9 will be as follows:

| COLS. | Explanation (See Financial coding handbook) |
|---|---|
| 13-31 | Description - use the MKULTRA sub-project number and the invoice number as in the Request for Advance (i.e., MKU 42 Inv. 18) |
| 32-33 | Division - 25 |
| 34-39 | Project number - Numbers assigne d to MKULTRA Funding mechansims are as follows: |

[redacted]ULTRA 090020
[redacted]ULTRA 090021
[redacted]ULTRA 090022

| | |
|---|---|
| 47-52 | Obligation Reference Number - Cited on the Request for Advance by the Division B &F officer. |
| 54-57 | General Ledger Account number - 142.9 |
| 71-80 | Amount |

G. L. ACCOUNT 750.0 (Unexpended Subsidies and Grants) This account will be used to control the accountability of MKULTRA grantees (sub-projects) for amounts passed to them directly by TSD (Fiscal Annex, Att. A), or funds passed to them through a funding mechansim (Fiscal Annex, Atts B & C) such as [redacted] AND [redacted] Memorandum accountability will be maintained

until receipt of an accounting from the grantee or a statement of performance from TSD. Coding of entries to account 750/MKULTRA will be as follows:

| COLS. | Explanation (See Financial Coding Handbook) |
|---|---|
| 13-31 | Description - Use Invoice Number and Obligation Reference number (i.e. Inv. 18 (cpps/or/201). |
| 32-33 | Division - 25 |
| 34-39 | Project number assigned for MKULTRA - 720121 |
| 45-46 | Accounting Period - [redacted] |
| 47-52 | For purposes of determining accountability of individual grantees, use the MKULTRA sub-project number pre-fixed by enough zero's to make a 6 digit number (i.e. 000042). |
| 54-57 | General Ledger Account number - 750.0 |
| 71-80 | Amount |